

ECORET Platform System Update Report

Subject: Implementation of New Case and Penalty and My Info Systems

1.0 Executive Summary

This report outlines the recent enhancement to the ECORET platform, specifically designed for the VLSA group. The primary focus of this update is the introduction of a robust "Case and Penalty" system within the platform. This new feature aims to promote member accountability, ensure timely financial obligations are met, and provide a clear, auditable framework for addressing overdue loans and violations. This report details both the "previous system" functionalities and the new updates, highlighting the process flow for the member-facing USSD platform, the executive mobile application, and the ECORET administrative portal.

Member Platform (USSD)

A feature-phone accessible interface (*123#) that allowed registered members to:

- Apply for Loans: Initiate loan requests, which are subject to a dual OTP confirmation process involving the user and the group secretary.
- Make Deposits: Repay loans or save money via mobile money networks (Mpamba/Airtel Money), with funds directed to the group's bank account.
- Check Balances: View current savings/shares balances and loan outstanding balances.

Executive Platform (Mobile App)

An Android application for the Chairman and Secretary, enabling them to:

- Manage Groups: Register members, upload documents, and configure group bank account details.
- Oversee Finances: Track savings collections, loan repayments, and generate financial reports.

- Administer Loans: Create loan requests to ECORET, approve group member loan requests via OTP matching, and view repayment schedules.
- Monitor Activities: Track meeting attendance, view group ledgers, and send notifications.

ECORET Admin Platform

A central dashboard for the main system administrators to:

- Oversee All Groups: Activate, generate IDs for, or disable groups.
- Review Financials: Generate performance reports and view group bank details.
- Manage Loans: Review and approve/decline loan requests submitted by group chairmen.
- Manage Users: Approve group leader registrations and manage system users.

Limitations of the Previous System

While the platform effectively managed routine operations, it lacked a formalized mechanism to handle non-compliance. Violations of group bylaws had to be managed manually, leading to inconsistency, lack of transparency, and potential financial risks to the group.

3.0 New System Update: Introduction of Case and Penalty and My Info features on the Main Menu, USSD platform

3.1 Features Overview

The new Case and Penalty system introduces a fully integrated framework for managing member compliance and enforcing group rules. The system provides comprehensive case management capabilities across all platform tiers.

3.2 Key Features

3.2.1 Case Creation and Management

Automated Case Creation:

- System automatically generates cases when loans become overdue
- Cases are linked to specific loan records with full audit trail
- Penalty calculations are automated based on configured rates and duration

Manual Case Creation:

- Executives can create cases for various violations including:
 - Meeting absences and lateness
 - Misconduct or rule violations
 - Any other group violations
- Full flexibility to add custom reasons and notes

Case Categorization:

Cases can be categorized by type:

- Absence from meetings
- Lateness to meetings
- Misconduct
- Loan default
- Other violations

3.2.2 Penalty Management

Penalty Assessment:

- Fixed penalties for specific violations
- Increased penalties for repeat offenses
- Configurable penalty amounts by case type

Payment Processing:

- Members can pay penalties via USSD interface
- Mobile money integration (Mpamba/Airtel Money)
- Multiple payment methods including cash and bank transfer
- Automatic case status updates upon payment

Balance Tracking:

- Real-time tracking of penalty balances
- Full payment history for each case
- Outstanding balance visibility for members and executives

3.2.3 USSD Member Interface

New Menu Options:

The USSD main menu now includes a dedicated option for case penalties:

Text

4.My info

5. View Case Penalties

NOTE: The my Info feature it's about member's details(name, phone number, group name and member since).

View Cases:

- Members can view all their pending cases
- Each case shows violation date and outstanding balance
- Up to 5 most recent cases displayed

Pay Penalties:

- Select a case for payment
- View amount due
- Process payment through mobile money
- Automatic case status update

3.2.4 Executive Mobile App Features

Case Management Dashboard:

- Overview of all open cases
- Summary statistics (total, pending, resolved, waived)
- Quick access to individual case details

Complete Case Management:

- View all cases in the group with filters
- Search by member name or case reason
- Create new cases with full details
- Update case information and status

Payment Management:

- Record penalty payments
- View complete payment history
- Track outstanding balances
- Validate payment amounts

Case Resolution:

- Resolve cases when fully paid
- Waive penalties when appropriate
- Record resolution details and dates
- Automatic notifications upon resolution

3.2.5 Reporting and Analytics

Individual Member Reports:

- Complete case history
- Total penalties assessed and paid
- Outstanding balance summary

Group-Level Reports:

- Aggregate case statistics
- Total penalties collected
- Outstanding receivables
- Cases by type and status

Financial Reporting:

- Penalties collected as income
- Outstanding penalties as receivables
- Impact on group financial health

3.3 Workflows

Case Creation Workflow

1. Case is created with member details and violation information
2. Appropriate penalty amount is set
3. Member is notified via SMS
4. Case appears in member's USSD menu

Payment Workflow

1. Member accesses USSD option 5
2. Selects a case to pay
3. System initiates mobile money payment
4. Member confirms payment
5. System processes payment and updates case
6. Case automatically resolved if fully paid

Resolution Workflow

1. Member completes full payment
2. System verifies full payment
3. Case automatically marked as resolved
4. Member and executives notified of resolution

4.0 Benefits and Impact

4.1 Key Benefits

For Group Members:

- Clear Accountability: Members understand consequences of non-compliance

- Transparency: Full visibility of all cases and penalties
- Convenience: Self-service payment through USSD
- Fairness: Consistent penalty application for all members
- Awareness: Regular notifications about pending cases

For Group Chairman and Executives:

- Automated Enforcement: System handles compliance automatically
- Reduced Manual Work: No need for manual penalty tracking
- Complete Audit Trail: All case actions recorded and trackable
- Better Governance: Formalized disciplinary process
- Improved Cash Flow: Timely penalty collection improves group liquidity

For the VLSA Group as a Whole:

- Stronger Financial Health: Reduced default rates
- Improved Accountability: Enforced rules and regulations
- Better Governance: Formal disciplinary framework
- Increased Trust: Transparent and consistent processes
- Sustainable Growth: Healthy group dynamics and finances

5.0 Conclusion

The Case and Penalty system represents a significant enhancement to the ECORET platform, addressing critical governance gaps in the previous system. By introducing a formalized framework for managing non-compliance, the system promotes accountability, transparency, and financial discipline among VLSA group members. This update transforms ECORET from a simple transaction platform to a comprehensive governance tool, expected to improve repayment rates, reduce manual workload, and strengthen the financial health of VLSA groups.